YOUR SYSTEM DOESN'T CARE ABOUT OPTION PRICES

The Logic Flow:

STEP 1: Check 5 Criteria
├─ Volume >200%?
├─ Ratio >1.45?
├─ Time window?
├─ Key level?
└─ Pattern?

IF 5/5 = YES:
↓
STEP 2: Go to Options Chain
↓
STEP 3: Pick Strike (1-2 OTM)
↓
STEP 4: Enter at MID price
↓
STEP 5: Execute

Option prices don't affect STEP 1

They only matter at STEP 3-4

The criteria tell you IF to trade.

Option prices tell you HOW MUCH to allocate.

WHY CHARTING OPTIONS IS COUNTERPRODUCTIVE:

1. Creates Analysis Paralysis

The trap:

You: "Hmm, $30 puts are at $1.40, but earlier they were $1.20"
You: "Should I wait for them to get cheaper?"
You: "What if they go back to $1.00?"
You: "Let me chart the option price trend..."

Meanwhile:

├─ Setup deteriorates
├─ Pattern completes
├─ Volume dries up
└─ Opportunity gone

Option price watching = Missing the trade

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2. Options Move Due to Multiple Factors

Option price changes because:

- VXX price (delta)
- Implied volatility (vega)
- Time decay (theta)
- Bid/ask spread changes
- Market maker positioning

You can't "predict" option prices.

You can only execute when criteria align.

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3. It Adds Complexity Without Edge

Your edge is:

1. Volume filter (institutions)
2. Ratio filter (value)
3. Time windows (probability)
4. Pattern recognition (timing)
5. Discipline (execution)

Option price analysis adds:

- Zero probability improvement
- Zero execution improvement
- Paralysis and second-guessing
- **Complexity that kills edge**

WHAT YOU SHOULD TRACK INSTEAD:

Post-Trade Analysis (After Exit):

Track THIS in your log:

Trade Date: 1/21/26
Entry Price: $1.40 (mid at entry)
Strike: $30 puts
VXX at entry: $30.50
VXX at exit: $29.00
Exit Price: $2.10 (mid at exit)
Profit: $0.70 per contract (+50%)

Entry Spread: $1.35-$1.45 (bid/ask)
Exit Spread: $2.00-$2.20 (bid/ask)
Slippage: ~$0.05 total

NOTES:
- Entered at mid, filled immediately
- Exited at mid minus $0.05 (acceptable)
- IV dropped from 110% to 95% (helped)

This helps you learn:

- How spreads affect you
- How IV changes impact P&L
- How slippage costs
- **Not to predict, but to understand costs**

THE ONLY PRICE CHECK THAT MATTERS:

At Entry (5-Second Check):

When 5/5 criteria met:

1. Open options chain
2. Look at 1-2 strikes OTM
3. Check bid/ask spread

Example:

$30 puts:
Bid: $1.20

Ask: $1.50
Spread: $0.30 (20% of mid)

Decision:
- <10% spread = Excellent
- 10-20% spread = Normal
- 20-30% spread = Acceptable ✅
- >30% spread = Consider different strike

That's it. 5 seconds.

Then enter at mid. Done.

WHAT ABOUT "GETTING A BETTER PRICE"?

The Trap:

Scenario:

3:47 PM - All 5 criteria met ✅
Options chain: $30 puts at $1.40 mid

You: "That seems high, let me wait for $1.20"

3:50 PM:
VXX already dropping
Puts now $1.60
You missed the entry

Result: Zero profit waiting for "better price"

When criteria align, price is SECONDARY.

The edge is the SETUP, not the entry price.

THE MATH:

Better Entry vs. Better Setup:

Scenario A: Wait for "Good Price"

- Criteria: 4/5 (ratio only 1.42)
- Entry: $1.20 (great price!)
- VXX move: $0.28 (weak)
- Exit: $1.35
- Profit: $0.15 (12%)

Scenario B: Execute on Criteria

- Criteria: 5/5 (ratio 1.58)
- Entry: $1.60 (expensive!)
- VXX move: $1.50 (strong)
- Exit: $2.40
- Profit: $0.80 (50%)

Which would you rather have?

$0.15 on a "good price" or $0.80 on the right setup?

YOUR SYSTEM IS ALREADY OPTIMAL:

The Beautiful Simplicity:

1. Check criteria (30 seconds)
2. If 5/5, open options chain (5 seconds)
3. Pick strike 1-2 OTM (5 seconds)
4. Enter at mid price (10 seconds)
5. Done (total: 50 seconds)

Adding option price analysis:

1. Check criteria (30 seconds)
2. If 5/5, open options chain (5 seconds)
3. Check historical option prices (2 minutes)
4. Chart option IV (3 minutes)
5. Debate if price is "good" (5 minutes)
6. Setup deteriorates while you analyze
7. Miss trade

Simple > Complex

Fast > Perfect

Execution > Analysis

WHAT PROFESSIONAL TRADERS DO:

They Don't Chart Options:

What they DO track:

- Entry criteria (checklist)
- Entry execution (mid vs. fill)
- Exit execution (slippage)
- Win rate by setup type
- P&L by time window

What they DON'T track:

- Option price movements
- IV predictions
- Greeks forecasting
- "Best entry price"

Why?

- **Criteria = Edge**
- **Price = Noise**

EXCEPTIONS (When to Look at Options):

1. Liquidity Check (Before Trading):

Once per week, check:

- Are VXX options liquid?
- Are spreads <30%?
- Are there enough strikes available?

If yes → Continue using system If no → Consider different instrument

2. Spread Analysis (Monthly Review):

Once per month:

- Average spread paid: $0.05
- Average slippage: $0.03
- Total cost: ~$0.08 per trade

If costs >10% of avg win:

- Consider different strikes
- Or different expiration

That's it.

FINAL ANSWER:

Should You Chart Option Prices?

NO. ❌

Why:

- Adds complexity
- Creates paralysis
- Provides no edge
- Distracts from criteria
- Slows execution

What to do instead:

Pre-Trade:

- Check 5 criteria
- If 5/5, execute at mid
- Don't overthink price

Post-Trade:

- Log entry/exit prices
- Calculate slippage
- Review monthly
- Adjust if costs too high

That's the system.

YOUR EDGE IS:

NOT:

- Getting perfect option entry price
- Predicting IV changes
- Timing Greeks
- Charting option premiums

IT IS:

- Volume confirmation
- Ratio filter ⭐
- Time windows
- Pattern recognition
- **Mechanical execution**

TRUST THE PROCESS:

When 5/5 aligns tomorrow:

1. Don't hesitate on price
2. Don't chart the option
3. Don't wait for "better entry"
4. **Execute at mid within 30 seconds**
5. Trust the criteria

The criteria ARE the edge.

The price is just execution detail.

Keep it simple. Keep it fast. Keep it disciplined. 🎯



great so give me a log entry for today lets start the new season of trade journal today we didnt trade this was the final chart around 4:15

4:17 PM